BERNSTEIN
SOCIETE GENERALE GROUP

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U.S. Machinery

Construction & Rental Equipment: May Dodge Construction Starts and the latest mega project starts

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What's the latest data on mega projects and construction starts? How is mega project activity trending? In this note, we look into these topics, update the latest Dodge construction starts data, and provide and update on mega projects. ***To gain recurring access to the excel-based version of this data feed, please reach out to your Bernstein salesperson.***

Dodge Non Resi Construction Starts had a mixed read in May. In May, total Non Resi starts increased ~60% Y/Y in value, vs. prior month's ~+30%. Building increased ~30% Y/Y, vs. prior month's ~25%, whilst Non Resi Non building grew 100% Y/Y vs prior month's + ~30%. However, Nonresidential sq ft declined by almost ~10% YoY, vs prior month's ~+10%. MoM Sq ft of +12% was weaker than the typical average of ~+15%. The Y/Y decline in sq ft was mainly driven by warehouses and misc, despite a strong read in manufacturing and offices. Non Resi pricing increased ~+40% Y/Y vs prior month's ~ +15%. On the other hand, the residential sector declined ~+7% YoY rate in terms of value, vs ~+3% the prior month, and ~-4% YoY in sq ft (vs ~+2% the prior month). In terms of value, two-family houses reverted the negative trend as the category grew almost 15% Y/Y in terms of value, whilst apartments and one-family houses declined Y/Y by 13 and 3%, respectively. Housing affordability is still below the 2019-20 levels. Early reads of 2026 exhibited a small deterioration after the improvement seen in 2025.

May mega project construction starts also continued growing as they exhibit a ~420% Y/Y growth(vs ~+150% the prior month). Mega project starts totaled ~$33B in May, up ~100% from the prior month. The largest project to break ground during the last month was the LNG Export Facility in Loiusiana for ~$14B, which represented ~40% of May mega projects. During the month of Apr, Mega Projects accounted for ~30% of all non resi starts, well above the TTM ~20% average. Looking over the last 12 months, LNG, public infrastructure and data centers represented the largest portion of the mega projects (~65%), followed by manufacturing, renewables and other. The manufacturing portion used to be the largest portion (23%), but has encountered some headwinds (especially on the EVs side).

Jacobs Solutions: Biotech Construction Site Tour. Earlier this month, we visited a biotech manufacturing construction jobsite where J designed the facility and is the construction manager. Shares have underperformed massively on AI-disintermediation concerns, but our visit brought to light why these concerns are misguided. Not only is J a massive beneficiary of the advanced manufacturing build-out, but also AI is enhancing its operating model and the market misunderstands this.(Full details here)

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BERNSTEIN TICKER TABLE

			25 Jun 2026		TTM		Adjusted EPS			Adjusted P/E (x)		
			Closing	Price	Rel.							
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
AGCO (AGCO)	M	USD	118.86	118.00	(3.9)%	USD	5.29	6.01	8.43	22.5	19.8	14.1
CAT (Caterpillar)	M	USD	1,057.01	879.00	157.0%	USD	19.08	24.01	28.30	55.4	44.0	37.4
CMI (Cummins)	M	USD	727.59	700.00	104.7%	USD	20.51	27.35	32.25	35.5	26.6	22.6
DE (Deere)	M	USD	630.76	615.00	4.3%	USD	18.51	17.60	20.80	34.1	35.8	30.3
J (Jacobs)	O	USD	124.39	163.00	(23.7)%	USD	6.12	7.27	8.33	20.3	17.1	14.9
OSK (Oshkosh Corp)	M	USD	150.99	138.00	13.9%	USD	10.78	11.08	14.10	14.0	13.6	10.7
PCAR (Paccar)	O	USD	121.68	138.00	10.1%	USD	5.01	5.53	6.89	24.3	22.0	17.7
PWR (Quanta Services)	M	USD	718.59	725.00	69.6%	USD	10.75	13.90	15.84	66.9	51.7	45.4
TRMB (Trimble)	O	USD	50.24	85.00	(52.8)%	USD	3.14	3.59	4.46	16.0	14.0	11.3
URI (United Rentals)	O	USD	1,139.51	1,153.00	33.8%	USD	42.11	47.78	53.00	27.1	23.8	21.5
HUBB (Hubbell)	O	USD	536.04	584.00	12.5%	USD	18.33	19.70	21.95	29.2	27.2	24.4
ETN (Eaton)	O	USD	419.87	534.00	0.9%	USD	12.07	13.29	16.32	34.8	31.6	25.7
TTAM (Titan America)	M	USD	19.30	17.00	28.6%	USD	389.66	410.08	466.28	9.8	9.3	8.2
LGN (Legence)	O	USD	81.10	103.00	NA	USD	298.82	479.93	567.27	33.9	21.1	17.9
AKE.FP (Arkema)	M	EUR	57.40	68.00	(28.7)%	EUR	4.34	4.62	5.24	13.2	12.4	10.9
AMRZ (Amrize)	O	USD	55.88	70.00	(2.1)%	USD	2.14	2.70	3.38	22.8	18.2	15.1
AMRZ.SW (Amrize)	O	CHF	45.25	55.00	(3.7)%	USD	2.14	2.70	3.38	22.8	18.2	15.1
CRH.US (CRH)	O	USD	113.05	150.00	9.4%	USD	5.51	5.77	7.75	20.5	19.6	14.6
HEI.GY (Heidelberg)	O	EUR	186.80	230.00	(21.7)%	EUR	10.92	11.63	13.33	17.1	16.1	14.0
SIKA.SW (Sika)	O	CHF	168.00	175.00	(39.4)%	CHF	6.50	7.23	8.54	25.8	23.2	19.7
SGO.FP (St-Gobain)	M	EUR	81.76	77.00	(35.3)%	EUR	5.83	5.94	6.47	14.0	13.8	12.6
KSP.ID (Kingspan)	M	EUR	84.20	72.00	(0.6)%	EUR	3.70	3.96	4.43	22.8	21.3	19.0
ROCKB.DC (Rockwool)	O	DKK	221.60	245.00	(43.5)%	EUR	0.14	2.02	2.15	217.4	14.7	13.8
GEBN.SW (Geberit)	U	CHF	541.40	465.00	(29.6)%	CHF	18.15	19.16	22.05	29.8	28.3	24.6
SUNB (Sunbelt Rentals)	O	USD	75.18	86.00	NA	USD	3.76	3.77	4.22	20.0	20.0	17.8
SUNB.LN	O	GBp	5,548.00	6,300.00	NA	USD	3.76	3.77	4.22	19.5	19.4	17.4
SPX			7,354.02									
EDME			1,580.77									
			--									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

CAT estimate is Adjusted EPS EBITDA (M); TTAM, LGN estimate is EBITDA (M); AMRZ, AMRZ.SW, CRH.US, HEI.GY, SIKA.SW, SGO.FP, KSP.ID, ROCKB.DC, GEBN.SW estimate is Reported EPS; TTAM, LGN valuation is EV/EBITDA (x); CRH.US, HEI.GY, SIKA.SW, SGO.FP, KSP.ID, ROCKB.DC, GEBN.SW valuation is Reported P/E (x);

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

US Machinery & Electricals

We maintain our **Outperform** rating(s) on: **Trimble** (TRMB, TP $85), **Jacobs** (J, TP $163), **PACCAR** (PCAR, TP $138), **Legence** (LGN, 103), **Hubbell** (HUBB, $584), **Eaton** (ETN, $534) and **United Rentals** (URI, $1,153). We maintain our **Market-Perform** rating(s) on **AGCO** (TP $118), **Caterpillar** (CAT, TP $879), **Deere** (DE, TP $615), **Cummins** (CMI, TP $700), **Titan America** (TTAM, $17) and **Oshkosh** (OSK, TP $138), and **Quanta** (PWR, TP $725).

European Chemicals

We rate **Arkema Market-Perform.** Our initiation is linked here, and our upgrade is linked here. The short-term will be supported by the acrylics cycle, but we see a key part of the Arkema bull case as an improvement in US construction, as performance is correlated with US starts by $ value ex-infrastructure. May's starts (non-resi +29% and resi —7%) continue to be strong for non-residential, with resilient developer profit margins (Exhibit 21), following April (non-resi +33% and resi +3%) and March (non-resi +5% and resi +2%). However, the downtick in residential starts, due to depressed housing affordability (Exhibit 23), seems to reflect the effect of higher inflation, which could upend expectations of a recovery driven by interest rates. Nonetheless, April and March were the first months since September 2025 in which both measures were positive, so it may be too early to draw firm conclusions about the trajectory of residential starts. The fundamentals remain weak for both resi and non-resi.

European Business Services

We maintain an Outperform rating on **Sunbelt** (SUNB, TP $86). SUNB's target price is based on an 2.7x CY27e EV/IC (range 1.5-4.0x) which drives a $86 PT for SUNB US and GBp 6,300 for SUNB LN.

Building Materials

The companies in our coverage with the greatest exposure to the US are Amrize, CRH, Heidelberg, and Sika (see our sector initiation here and our Amrize initiation here). Saint Gobain, Rockwool and Kingspan have under 20% sales exposure to the US, Geberit has 3% of sales in the US and Holcim post the spin-off of Amrize is not exposed to the US. **Amrize** (OP, PT $70) has the dominant position in US cement and their exposure to structurally strong inland markets gives them superior pricing power, a high share of variable costs that makes the production more flexible than is generally believed, and the light side business is exposed to strong end markets, and we don't expect these markets to deteriorate. Amrize has underperformed heavy-side peers since the spin due to the caution on the short-term softness in the US vs more bullish expectations in Europe. We believe now is a good time to gain/build exposure to this quality stock. We rate **CRH** Outperform as it has an attractive portfolio skewed to the strong infrastructure end market, high pricing power, and is trading at a deep discount to US aggregates peers. CRH has the highest beta among the building materials to US non-resi, an end-market which we believe has the greatest potential to surprise positively in 2026. **Heidelberg**'s (OP, PT €230) portfolio is exposed to some markets which we deem less attractive, therefore their pricing power is somewhat lower. However, the stock derated materially due to noise around the potential dilution of the EU ETS and collapse of carbon prices. We believe that the sell-off has been overdone and the risk-reward is skewed to the upside. This valuation gap should unwind over the next month when the EU publishes their ETS policy reform proposals where we believe the outcome will be better than the worst case being baked into the share price, leading to a near term rerating. We rate **Sika** Outperform, but the stock has been weak, driven by the US softness and double guidance cut in 2025. Sika is now guiding for 1-4% in local currency growth for FY26, and we believe guidance shows cautious optimism, with moderate growth and margin expansion. We have become incrementally bullish after the Q1'26 results beat and believe Sika is at the cusp of rerating because with execution and delivery (of bolt-ons, Fast Forward targets, MBCC synergies, shareholder returns, etc.), investor confidence will improve. We appreciate Sika's leadership in the attractive construction chemicals segment the innovative and differentiated products which allows them to outperform the market. The current weakness provides an attractive entry point. We rate**Saint Gobain** Market-Perform, as the current price reflects a balanced view of the positive and the negatives. We came out of their CMD in early Oct feeling incrementally positive on the company, however, the stock is going to remain under pressure due to the French political uncertainty. **Rockwool** (Outperform) is in the Goldilocks' sweet spot, they are the dominant leader in the niche stonewool insulation market which is too small for big companies to go after and too capital intensive for new entrants. The stock dropped sharply in H2'25 and in Q1'26 due to the miss vs consensus and guidance downgrade, and the Russian expropriation, which was grossly overdone in our view. Q1'26 results in May came as a positive surprise with a guidance upgrade given higher pricing expectations, driven by energy inflation, which confirms our view that management has a conservative stance allowing them to beat and raise as the year progresses. We see the mid-term guidance as too conservative as well, which will leave room for re-rating. **Kingspan** is skewed to the commoditized end of the insulation spectrum which gives them lower pricing power. However, Kingspan also demonstrates margin expansion when key raw materials like steel and MDI experience inflation, which is the case at the moment. We believe the stock is more fairly valued at present, and we maintain Market Perform. **Geberit** — we like the company's strong brand and moat which comes from strong relationships with plumbers, but we believe the stock to be overvalued — Underperform.

DETAILS

CONSTRUCTION STARTS DATA

EXHIBIT 1: **Dodge Construction Starts**

SQUARE FOOTAGE ('000s)	% Y/Y		% M/M			Million Sq Ft.			% of Total	
	May. '26	Prior Mo.	May. '26	Prior Mo.	Seasonality	May. '26	Prior Yr.	Δ Y/Y	Segment	Total
Nonresidential	**-8%**	**8%**	**12%**	**22%**	**15%**	**107.0**	**116.8**	**-9.8**	**100%**	**26%**
Amusement, Social and Recreational	-15%	23%	12%	35%	22%	4.5	5.3	-0.8	4%	1%
Dormitories	5%	11%	21%	57%	119%	1.1	1.0	0.1	1%	0%
Government Service Buildings	21%	-14%	103%	-9%	28%	2.2	1.8	0.4	2%	1%
Hospitals and Other Health Treatment	11%	-21%	67%	-2%	16%	6.1	5.5	0.6	6%	1%
Hotels and Motels	2%	28%	-21%	9%	8%	2.7	2.7	0.0	3%	1%
Mfg Plants, Warehouses, Labs	144%	-43%	264%	16%	66%	20.2	8.3	11.9	19%	5%
Miscellaneous Nonresidential Bldgs	-72%	-35%	35%	-3%	38%	2.1	7.5	-5.4	2%	1%
Office and Bank Buildings	36%	95%	2%	20%	16%	14.8	10.9	3.9	14%	4%
Parking Garages and Automotive Svcs	-17%	66%	-39%	90%	14%	10.2	12.2	-2.0	10%	2%
Religious Buildings	1%	-17%	55%	-36%	10%	1.0	1.0	0.0	1%	0%
Schools, Libraries, and Labs (nonmfg)	-15%	-9%	25%	17%	27%	10.9	12.8	-2.0	10%	3%
Stores and Restaurants	-15%	38%	-3%	21%	12%	7.0	8.3	-1.2	7%	2%
Warehouses (excl. mfr owned)	-39%	-11%	-11%	9%	10%	24.2	39.3	-15.2	23%	6%
Residential	**-4%**	**2%**	**-8%**	**5%**	**2%**	**307.6**	**319.9**	**-12.3**	**100%**	**74%**
Apartments	-27%	2%	-14%	-9%	8%	46.5	64.0	-17.5	15%	11%
One-family Houses	2%	2%	-7%	9%	1%	257.1	252.5	4.7	84%	62%
Two-family Houses	15%	-4%	-12%	13%	-3%	4.0	3.4	0.5	1%	1%
Grand Total	**-5%**	**3%**	**-4%**	**9%**	**5%**	**414.6**	**436.6**	**-22.1**	--	100%

VALUE ($ '000s)	% Y/Y		% M/M			$ Billions			% of Total	
	May. '26	Prior Mo.	May. '26	Prior Mo.	Seasonality	May. '26	Prior Yr.	Δ Y/Y	Segment	Total
Non-Resi Building + Non-Building	**62%**	**27%**	**53%**	**16%**	**28%**	**$120.3**	**$74.4**	**$45.9**	**--**	**--**
Non-Res Nonbuilding	**105%**	**28%**	**91%**	**12%**	**33%**	**$65.2**	**$31.8**	**$33.4**	**100%**	**43%**
Bridges	369%	-1%	236%	17%	14%	$10.3	$2.2	$8.1	16%	7%
Dams/Reservoirs/River Development	7%	66%	-30%	61%	1%	$1.6	$1.5	$0.1	2%	1%
Other Nonbuilding	-29%	-1%	2%	28%	42%	$4.5	$6.3	-$1.8	7%	3%
Power Plants/Gas/Communications	284%	134%	196%	-9%	90%	$30.7	$8.0	$22.7	47%	20%
Sewerage and Waste Disposal	-29%	40%	-25%	31%	37%	$1.8	$2.5	-$0.7	3%	1%
Streets and Highways	57%	2%	44%	30%	14%	$13.7	$8.7	$5.0	21%	9%
Water Supply Systems	1%	-9%	25%	-13%	16%	$2.6	$2.5	$0.0	4%	2%
Non-Resi Building	**29%**	**25%**	**25%**	**19%**	**24%**	**$55.1**	**$42.7**	**$12.5**	**100%**	**36%**
Amusement, Social and Recreational	-19%	27%	-18%	53%	30%	$2.3	$2.9	-$0.5	4%	2%
Dormitories	-4%	44%	-6%	199%	160%	$0.6	$0.6	$0.0	1%	0%
Government Service Buildings	31%	-19%	137%	-2%	33%	$2.1	$1.6	$0.5	4%	1%
Hospitals and Other Health Treatment	21%	-7%	120%	20%	21%	$6.9	$5.7	$1.2	13%	5%
Hotels and Motels	13%	14%	-45%	9%	7%	$0.7	$0.6	$0.1	1%	0%
Mfg Plants, Warehouses, Labs	117%	-13%	123%	-30%	146%	$9.1	$4.2	$4.9	16%	6%
Miscellaneous Nonresidential Bldgs	14%	32%	11%	-16%	-2%	$1.9	$1.7	$0.2	3%	1%
Office and Bank Buildings	138%	102%	23%	47%	14%	$17.6	$7.4	$10.2	32%	12%
Parking Garages and Automotive Svcs	-21%	102%	-49%	109%	10%	$1.4	$1.8	-$0.4	3%	1%
Religious Buildings	-10%	-1%	4%	-18%	3%	$0.3	$0.3	$0.0	0%	0%
Schools, Libraries, and Labs (nonmfg)	-15%	-3%	5%	5%	31%	$7.6	$8.9	-$1.3	14%	5%
Stores and Restaurants	-14%	24%	-1%	9%	7%	$2.1	$2.4	-$0.3	4%	1%
Warehouses (excl. mfr owned)	-46%	-4%	-18%	25%	15%	$2.5	$4.5	-$2.1	4%	2%
Residential	**-7%**	**3%**	**-7%**	**1%**	**3%**	**$31.8**	**$34.1**	**-$2.4**	**100%**	**21%**
Apartments	-13%	14%	-5%	-8%	9%	$11.3	$13.0	-$1.7	36%	7%
One-family Houses	-3%	-2%	-8%	7%	0%	$20.0	$20.7	-$0.7	63%	13%
Two-family Houses	14%	-7%	-10%	8%	-5%	$0.4	$0.4	$0.1	1%	0%
Grand Total	**40%**	**18%**	**35%**	**11%**	**18%**	**$152.1**	**$108.6**	**$43.5**	**--**	**100%**

Source: Dodge, Bernsein analysis

EXHIBIT 2: **Dodge TTM Construction Starts**

TTM SQUARE FOOTAGE ('000s)

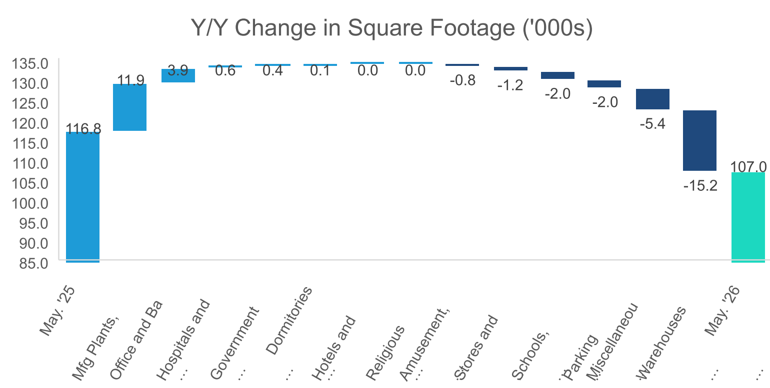
	% Y/Y		% M/M			Million Sq Ft.			% of Total	
	May. '26	Prior Month	May. '26	Prior Month	Seasonality	May. '26	Prior Year	Δ Y/Y	Subsegment	Grand Total
Nonresidential	-1%	0%	-1%	1%	0%	1,172.6	1,189.1	-16.5	100%	25%
Amusement, Social and Recreational Bld	-17%	-16%	-2%	2%	0%	46.5	56.3	-9.8	4%	1%
Dormitories	7%	-1%	0%	1%	0%	16.3	15.3	1.0	1%	0%
Government Service Buildings	-12%	-16%	2%	-1%	0%	18.5	20.9	-2.5	2%	0%
Hospitals and Other Health Treatment	-5%	-4%	1%	-2%	0%	57.9	61.1	-3.2	5%	1%
Hotels and Motels	17%	15%	0%	2%	-1%	44.5	37.9	6.5	4%	1%
Manufacturing Plants, Warehouses, Labs	-3%	-16%	15%	-5%	3%	90.3	93.5	-3.2	8%	2%
Miscellaneous Nonresidential Buildings	-21%	11%	-16%	-3%	0%	27.7	34.9	-7.2	2%	1%
Office and Bank Buildings	21%	18%	3%	5%	0%	157.3	130.2	27.1	13%	3%
Parking Garages and Automotive Service	8%	12%	-1%	5%	0%	139.1	128.5	10.7	12%	3%
Religious Buildings	10%	13%	0%	-1%	0%	11.2	10.2	1.0	1%	0%
Schools, Libraries, and Labs (nonmfg)	-11%	-10%	-2%	-1%	0%	118.5	132.7	-14.2	10%	3%
Stores and Restaurants	12%	13%	-1%	2%	0%	88.3	79.1	9.2	8%	2%
Warehouses (excl. manufacturer owned)	-8%	-3%	-4%	-1%	0%	356.6	388.5	-31.9	30%	8%
Residential	-4%	-4%	0%	0%	0%	3,486.0	3,619.5	-133.6	100%	75%
Apartments	4%	9%	-3%	0%	0%	680.2	656.0	24.2	20%	15%
One-family Houses	-5%	-7%	0%	0%	0%	2,761.0	2,918.7	-157.6	79%	59%
Two-family Houses	0%	-4%	1%	0%	0%	44.7	44.9	-0.2	1%	1%
Grand Total	-3%	-3%	0%	0%	0%	4,658.6	4,808.7	-150.1	--	100%

TTM VALUE ('000s)

	% Y/Y		% M/M			$ Billions			% of Total	
	May. '26	Prior Month	May. '26	Prior Month	Seasonality	May. '26	Prior Year	Δ Y/Y	Subsegment	Grand Total
Non-Resi Building + Non-Building	21%	14%	5%	2%	1%	$966.8	$799.9	$166.9	--	--
Non-Res Nonbuilding	33%	20%	8%	2%	1%	$453.1	$340.2	$112.9	100%	34%
Bridges	25%	-1%	25%	0%	4%	$39.9	$32.0	$7.9	9%	3%
Dams/Reservoirs/River Development	-13%	-14%	0%	4%	0%	$24.4	$28.0	-$3.6	5%	2%
Other Nonbuilding	24%	36%	-3%	0%	-1%	$62.7	$50.6	$12.0	14%	5%
Power Plants/Gas/Communications	122%	63%	16%	4%	4%	$165.7	$74.8	$90.9	37%	12%
Sewerage and Waste Disposal Systems	-2%	0%	-2%	2%	0%	$29.4	$29.9	-$0.5	6%	2%
Streets and Highways	4%	-1%	5%	0%	1%	$100.2	$95.9	$4.2	22%	7%
Water Supply Systems	7%	7%	0%	-1%	1%	$30.9	$29.0	$1.9	7%	2%
Non-Resi Bulding	12%	10%	2%	2%	1%	$513.6	$459.7	$53.9	100%	38%
Amusement, Social and Recreational Bld	-9%	-12%	-2%	2%	0%	$30.4	$33.5	-$3.1	6%	2%
Dormitories	-3%	-5%	0%	2%	1%	$8.2	$8.4	-$0.2	2%	1%
Government Service Buildings	-19%	-22%	3%	-1%	1%	$16.3	$20.1	-$3.7	3%	1%
Hospitals and Other Health Treatment	-2%	2%	2%	-1%	2%	$50.0	$50.8	-$0.8	10%	4%
Hotels and Motels	10%	7%	1%	1%	-1%	$14.9	$13.6	$1.3	3%	1%
Manufacturing Plants, Warehouses, Labs	32%	21%	9%	-1%	4%	$58.6	$44.3	$14.3	11%	4%
Miscellaneous Nonresidential Buildings	-8%	-9%	1%	2%	1%	$22.1	$24.0	-$1.9	4%	2%
Office and Bank Buildings	53%	45%	8%	6%	2%	$136.2	$89.0	$47.2	27%	10%
Parking Garages and Automotive Service	14%	20%	-2%	7%	0%	$20.3	$17.8	$2.5	4%	2%
Religious Buildings	7%	11%	-1%	0%	0%	$3.5	$3.3	$0.2	1%	0%
Schools, Libraries, and Labs (nonmfg)	0%	2%	-1%	0%	0%	$90.8	$90.7	$0.1	18%	7%
Stores and Restaurants	10%	14%	-1%	2%	1%	$24.5	$22.3	$2.1	5%	2%
Warehouses (excl. manufacturer owned)	-10%	-4%	-5%	0%	0%	$37.9	$41.9	-$4.0	7%	3%
Residential	-5%	-4%	-1%	0%	0%	$369.9	$387.8	-$17.9	100%	28%
Apartments	13%	19%	-1%	1%	0%	$143.2	$126.3	$16.8	39%	11%
One-family Houses	-13%	-15%	0%	0%	0%	$221.7	$256.2	-$34.6	60%	17%
Two-family Houses	-3%	-6%	1%	-1%	0%	$5.0	$5.2	-$0.2	1%	0%
Grand Total	13%	8%	3%	1%	1%	$1,336.7	$1,187.7	$149.0	--	100%

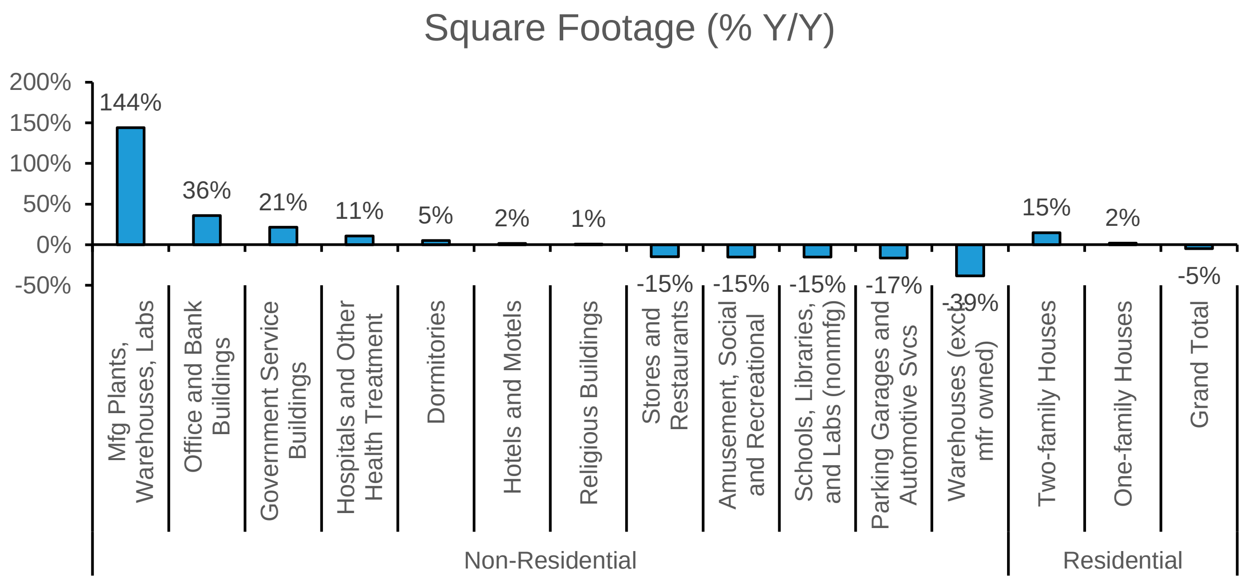
Source: Dodge, Bernstein analysis

EXHIBIT 3: **The Y/Y change was mainly driven by warehouses**



Source: Dodge, Bernstein analysis

EXHIBIT 4: **Latest month's % Y/Y Change in Square Footage**



Source: Dodge, Bernstein analysis

EXHIBIT 5: **Price Per Square Foot**

	% Y/Y		% M/M			Price Per
	May. '26	Prior Month	May. '26	Prior Month	Seasonality	Sq. Foot
Nonresidential	***41%***	***16%***	***11%***	***-2%***	***8%***	**515**
Amusement, Social and Recreational Bld	*-4%*	*3%*	*-27%*	*14%*	*5%*	520
Dormitories	*-9%*	*30%*	*-23%*	*91%*	*36%*	540
Government Service Buildings	*8%*	*-6%*	*17%*	*7%*	*3%*	976
Hospitals and Other Health Treatment	*9%*	*17%*	*32%*	*23%*	*0%*	1,141
Hotels and Motels	*11%*	*-11%*	*-30%*	*0%*	*-3%*	267
Manufacturing Plants, Warehouses, Labs	*-11%*	*54%*	*-39%*	*-39%*	*67%*	449
Miscellaneous Nonresidential Buildings	*309%*	*105%*	*-18%*	*-14%*	*-27%*	913
Office and Bank Buildings	*76%*	*4%*	*21%*	*22%*	*-1%*	1,188
Parking Garages and Automotive Service	*-5%*	*22%*	*-17%*	*10%*	*-3%*	137
Religious Buildings	*-11%*	*19%*	*-33%*	*28%*	*-3%*	254
Schools, Libraries, and Labs (nonmfg)	*1%*	*6%*	*-16%*	*-10%*	*3%*	703
Stores and Restaurants	*1%*	*-11%*	*2%*	*-9%*	*-3%*	294
Warehouses (excl. manufacturer owned)	*-11%*	*8%*	*-8%*	*15%*	*5%*	102
Residential	***-3%***	***1%***	***1%***	***-4%***	***1%***	**103**
Apartments	*19%*	*12%*	*10%*	*2%*	*2%*	243
One-family Houses	*-5%*	*-4%*	*-1%*	*-2%*	*-1%*	78
Two-family Houses	*-1%*	*-3%*	*2%*	*-5%*	*-2%*	110
Grand Total	***48%***	***15%***	***40%***	***2%***	***13%***	**367**

Source: Dodge, Bernstein analysis

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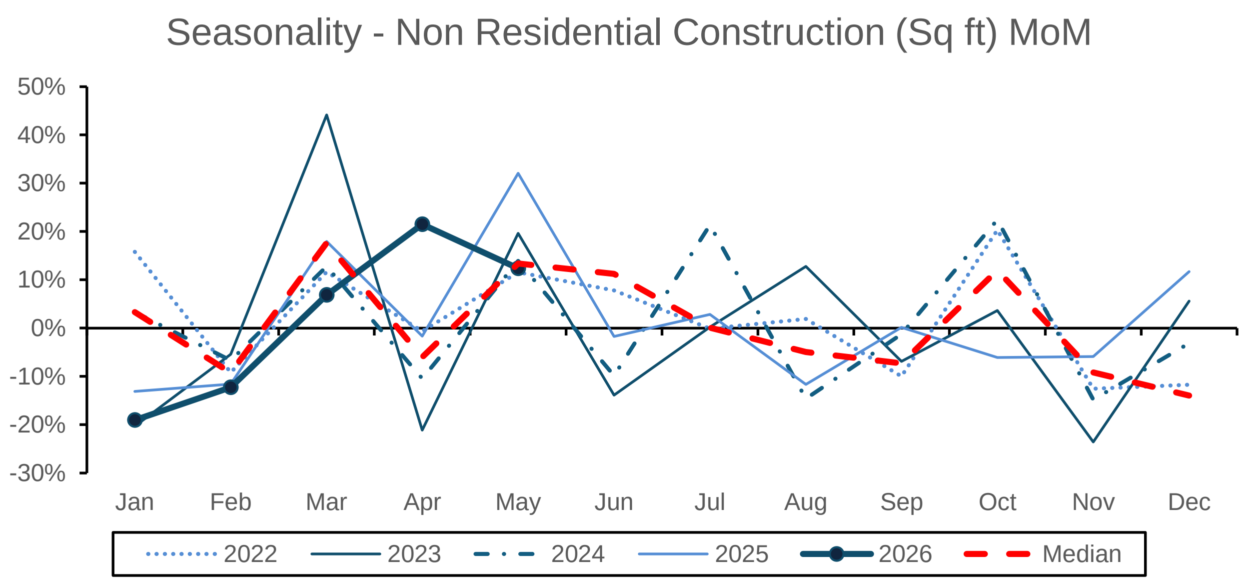
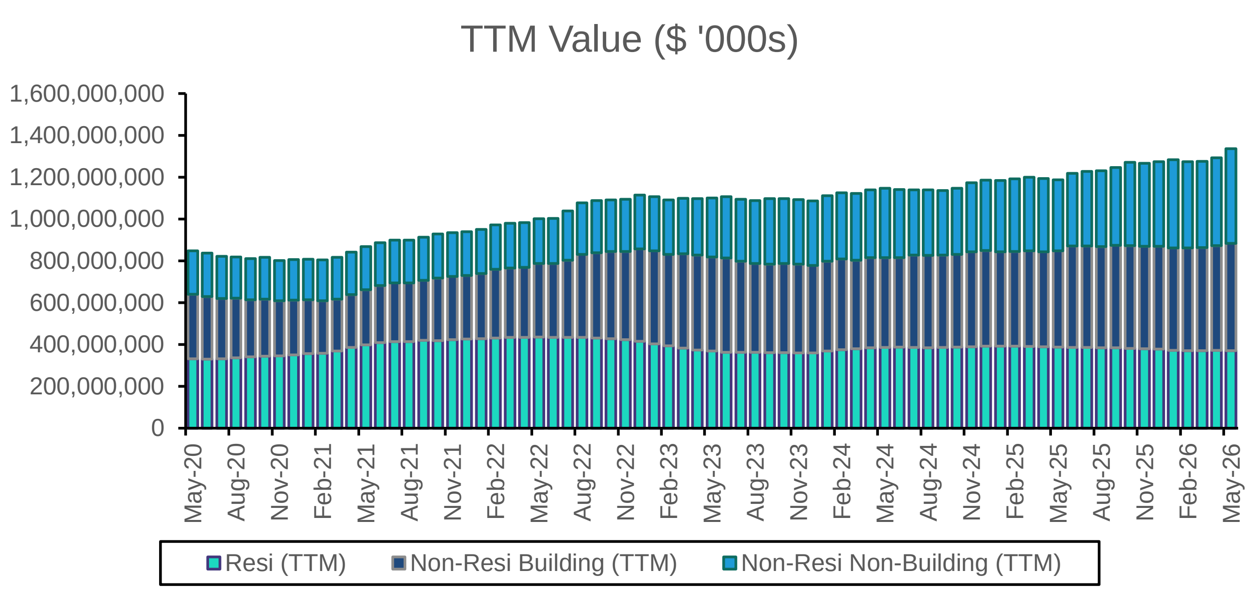
EXHIBIT 6: **Non Residential Construction Seasonality**



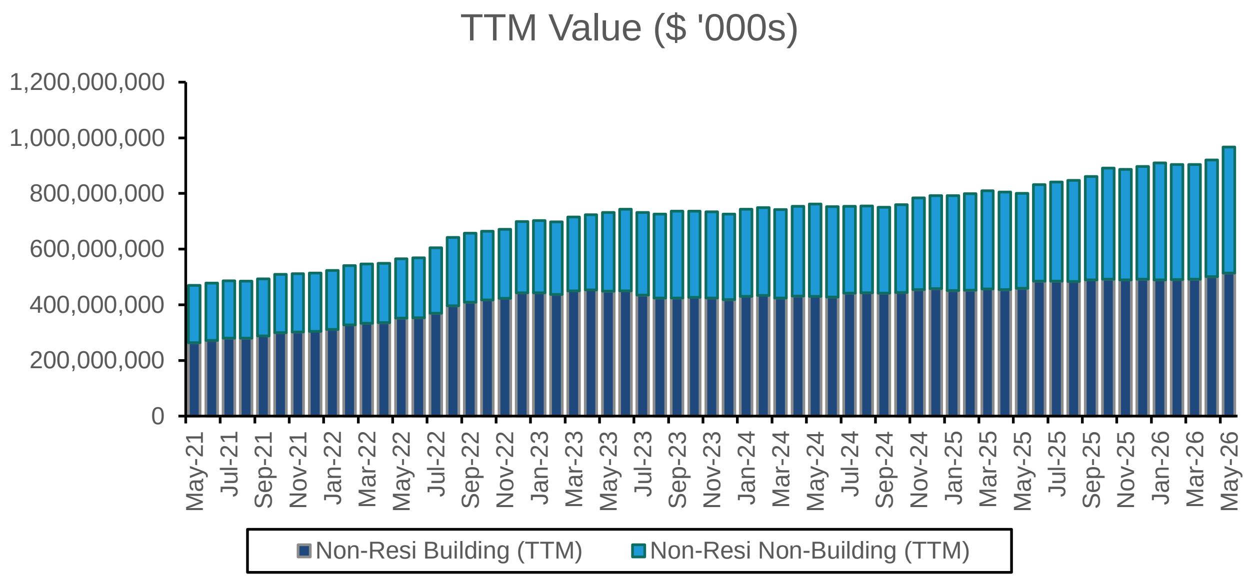
Source: Dodge, Bernstein analysis

EXHIBIT 7: **Value of Total Construction Starts ($ '000s)**



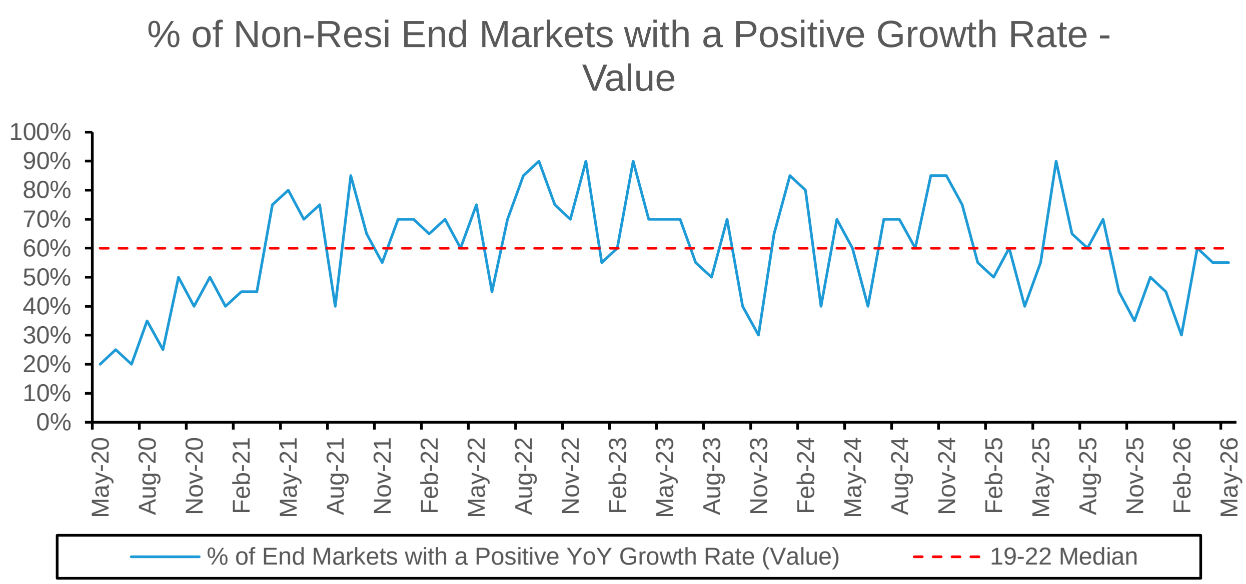
Source: Dodge, Bernstein analysis

EXHIBIT 8: **Value of Non Building + Non-Residential Construction Starts**



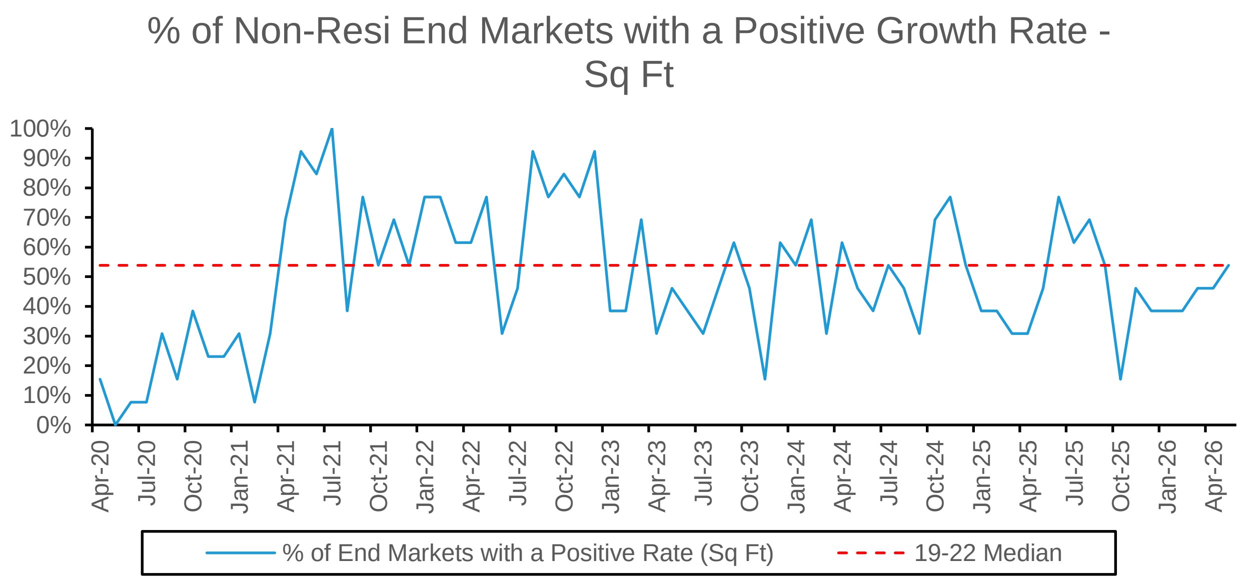
Source: Dodge, Bernstein analysis

EXHIBIT 9: **The % of end markets (measured in value and ex resi) with a positive growth rate remained at 55% and below the historical median of 60%**



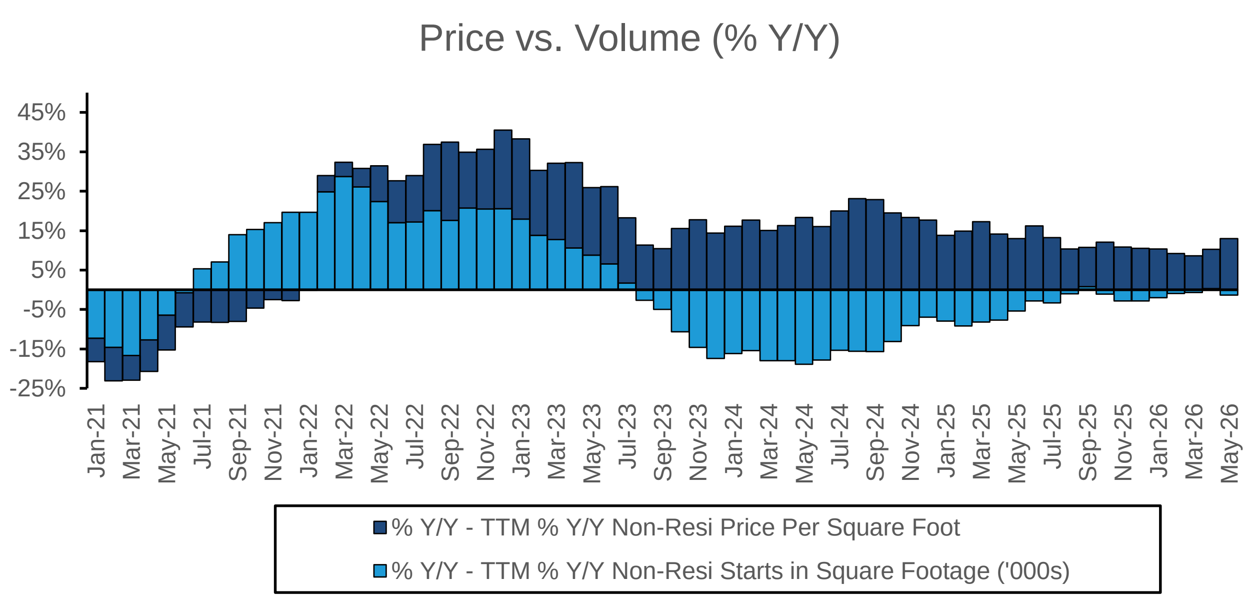
Source: Dodge, Bernstein analysis

EXHIBIT 10: **The % of end markets (measured in sq ft and ex resi) with a positive growth rate increased from ~45% the prior month to ~55%, in line with the historical median of ~55%**



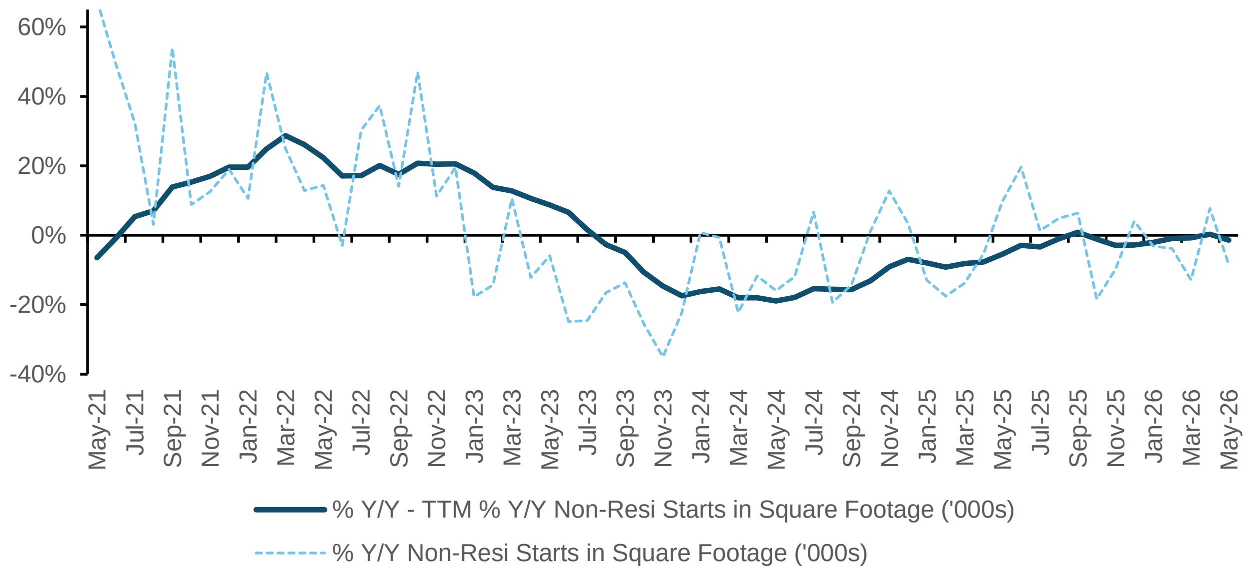
Source: Dodge, Bernstein analysis

EXHIBIT 11: **The $ Value of Construction Starts has Increasingly Been Driven by Price Inflation**



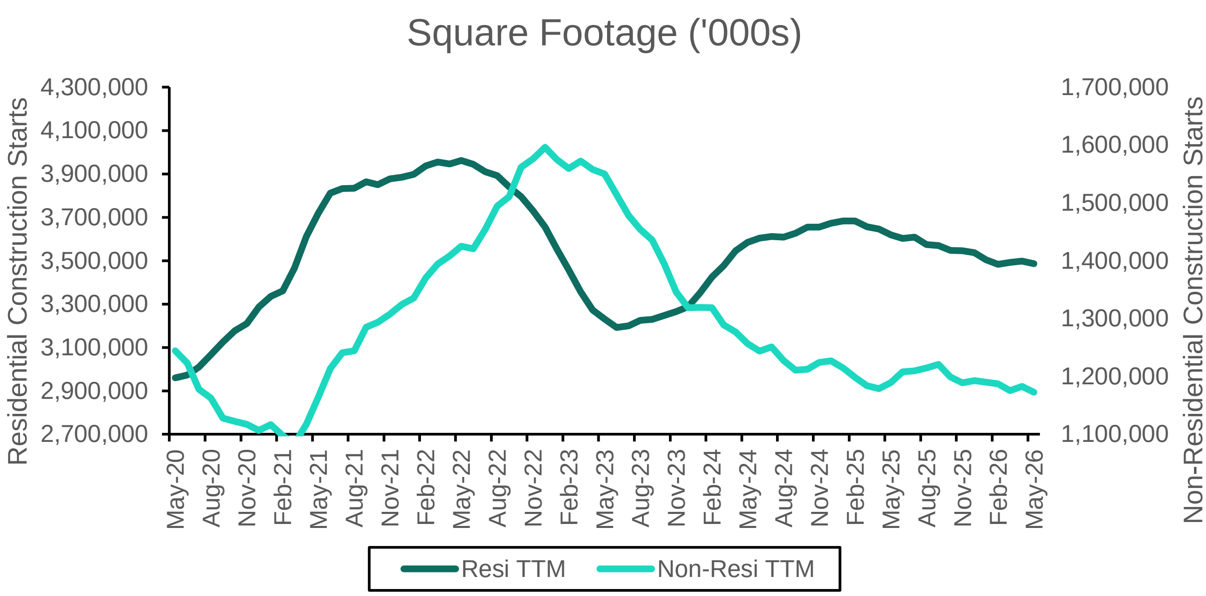
Source: Dodge, Bernstein analysis

EXHIBIT 12: **Non-Resi Construction Starts Square Footage Declined and the TTM value followed**



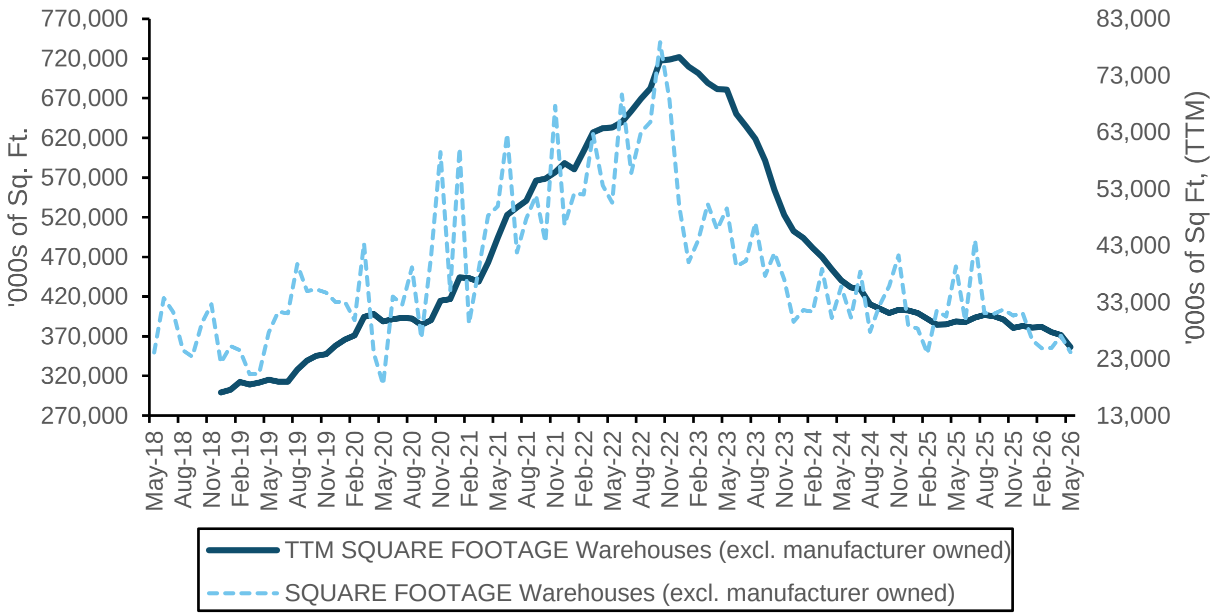
Source: Dodge, Bernstein analysis

EXHIBIT 13: **Residential Construction Starts Square Footage has decelerated from the prior month in the latest read. Non resi usually lags resi by 9 months**



Source: Dodge, Bernstein analysis

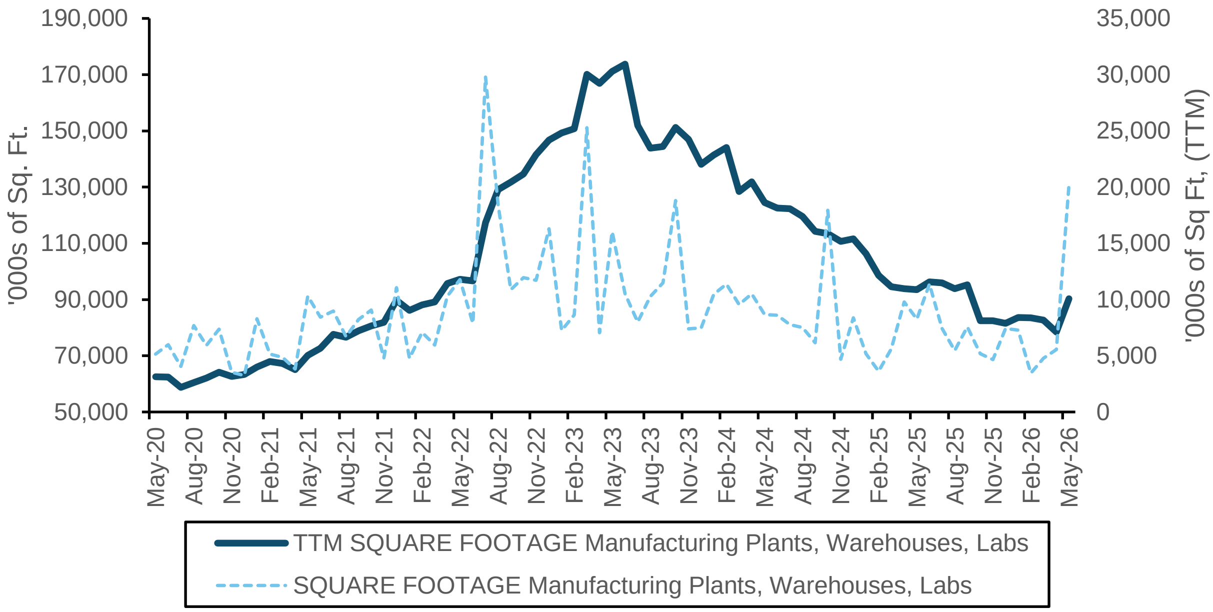
EXHIBIT 14: **Warehouse Starts declined in the latest read**



Source: Dodge, Bernstein analysis

SPOTLIGHT ON MANUFACTURING CONSTRUCTION STARTS

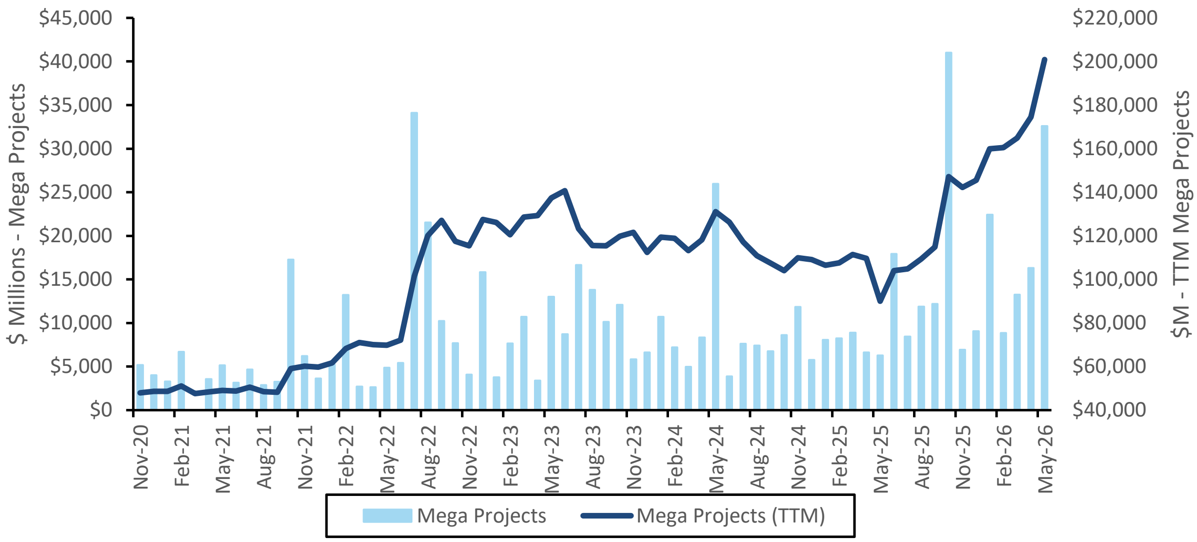
EXHIBIT 15: **Manufacturing Construction Starts had a significant rebound in the latest read**



Source: Dodge, Bernstein analysis

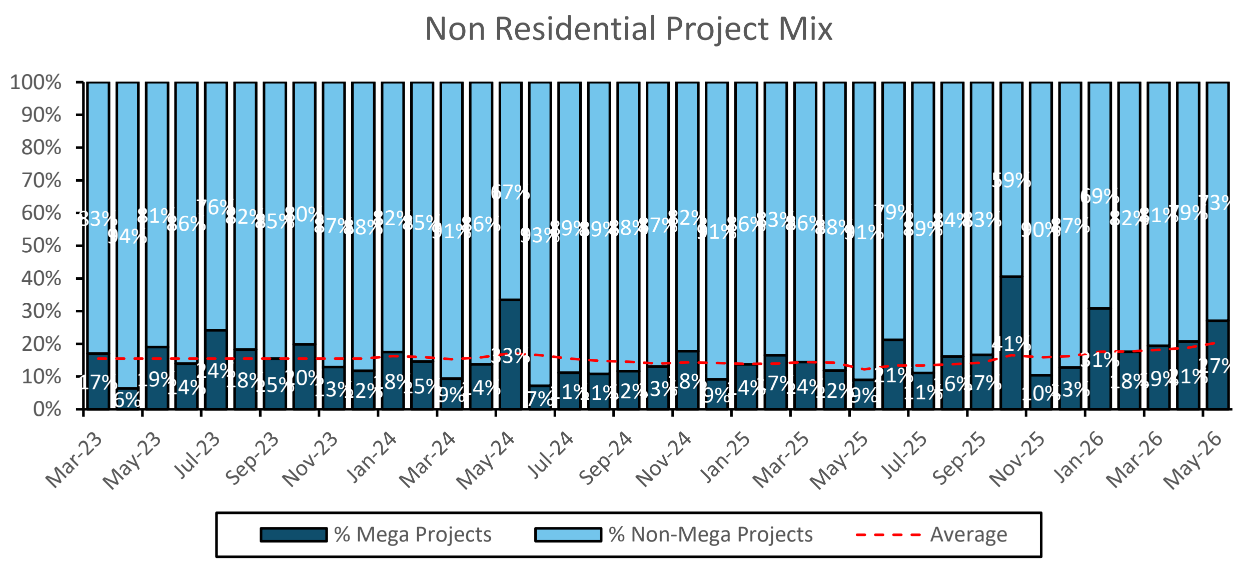
HOW BIG OF AN IMPACT ARE MEGA PROJECTS HAVING ON CONSTRUCTION STARTS?

EXHIBIT 16: **Mega Projects value starts per month**



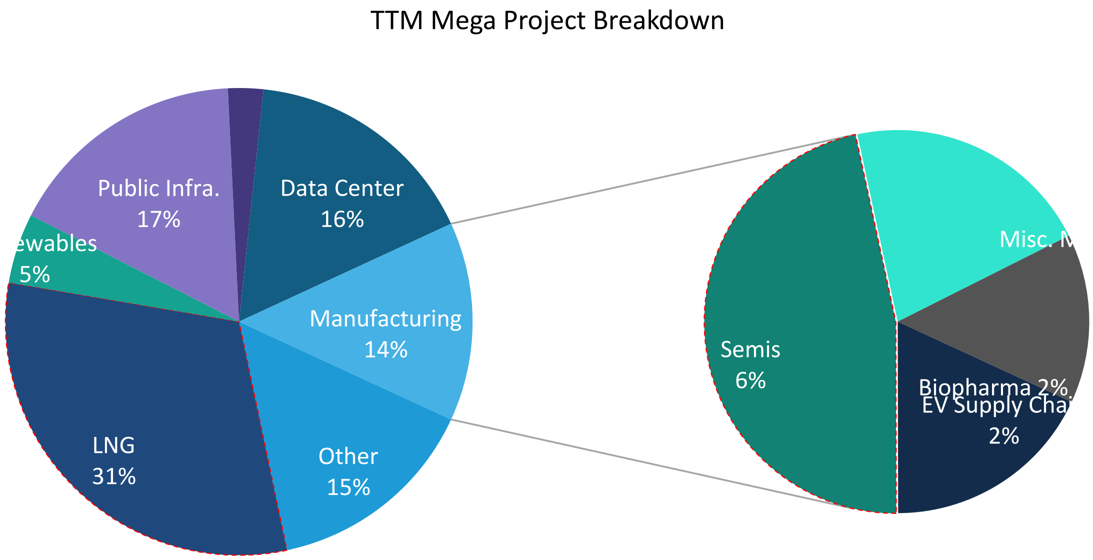
Source: Dodge, Bernstein analysis

EXHIBIT 17: **Mega Projects accounted for ~30% of all non residential starts in May(vs ~20%TTM)**



Source: Dodge, Bernstein analysis

EXHIBIT 18: **LNG is currently the largest contributor to mega projects, followed by public infrastructure.**



Source: Dodge, Bernstein analysis

EXHIBIT 19: **Largest Project List of Nonresidential Building over the last 12 months**

Break Ground Date	Project Name	Value ($M)	Type	Location
Jun-25	Taiwan Semiconductor Factory (Fab 3, Phase 3)	$10,000	Semis	AZ
Jun-25	Eli Lilly Medicine Foundry	$2,250	Biopharma	IN
Jun-25	Phase 1 of the SNA Data Center	$2,000	Data Center	IA
Jul-25	UU West Valley Eccles Health Campus	$855	Healthcare	UT
Jul-25	Mercy Hospital Campus	$650	Healthcare	MO
Jul-25	Meta Data Center	$550	Data Center	OH
Aug-25	Geinsinger Medical Center Tower	$880	Healthcare	PA
Aug-25	Fort Meade East Campus Office Building	$666	Office	MD
Aug-25	UM Shore Medical Center	$540	Healthcare	MD
Sep-25	Hub 8 Data Center (West Feliciana Parish)	$2,500	Data Center	LA
Sep-25	NYS Life Sciences Public Health Laboratory	$1,700	Healthcare	NY
Sep-25	Llano Data Center Phase 1	$1,200	Data Center	TX
Oct-25	Meta Hyperion Data Center	$7,500	Data Center	LA
Oct-25	LA Convention Center	$1,900	Other	CA
Oct-25	Eli Lilly & Co. Manufacturing Facility	$1,700	Biopharma	IN
Nov-25	LAX Terminal 5 Renovation & Reconstruction	$1,800	Public Infrastructure	CA
Nov-25	Amazon - Southern Site - Data Center	$800	Data Center	IN
Nov-25	UCSF Benioff Children's Hospital	$797	Healthcare	CA
Dec-25	Google Data Center Phase 1	$1,000	Data Center	AR
Dec-25	CyrusOne Data Center	$750	Data Center	TX
Dec-25	SNA Data Center	$714	Data Center	IA
Jan-26	New York Presbyterian Cancer Center	$1,200	Healthcare	NY
Jan-26	Amkor Semiconductor Advanced Packaging (Phase 1)	$1,000	Semis	AZ
Jan-26	QTS CLT1 Data Center (Phase 1)	$714	Data Center	SC
Feb-26	Google Data Center Campus	$3,000	Data Center	TX
Feb-26	Polaris Forge 2 AI Data Center	$3,000	Data Center	ND
Feb-26	Tampa International Airport Airside D project	$1,530	Public Infrastructure	FL
Mar-26	Shintech Ethylene PEP-2 & Vinyl Chloride Monomer (SPP-4)	$3,400	Manufacturing	LA
Mar-26	Savannah River Plutonium Processing Facility	$2,400	Manufacturing	SC
Mar-26	Port Terminal 1 Replacement Project	$953	Public Infrastructure	AK
Apr-26	Provident/PowerHouse Praireie Ridge Data Center	$5,000	Data Center	TX
Apr-26	SK Hynix HBM Advanced Packaging & R&D Hub	$1,900	Semis	IN
Apr-26	Stargate Data Center Campus	$1,300	Data Center	MI
May-26	Rivian Electric Vehicle Plant	$5,000	EV Supply Chain	GA
May-26	Nebius Data Center - Buildings 1 & 2	$3,000	Data Center	AL
May-26	World Trade Center Commercial Tower	$2,800	Office	NY

Source: Dodge, Bernstein analysis

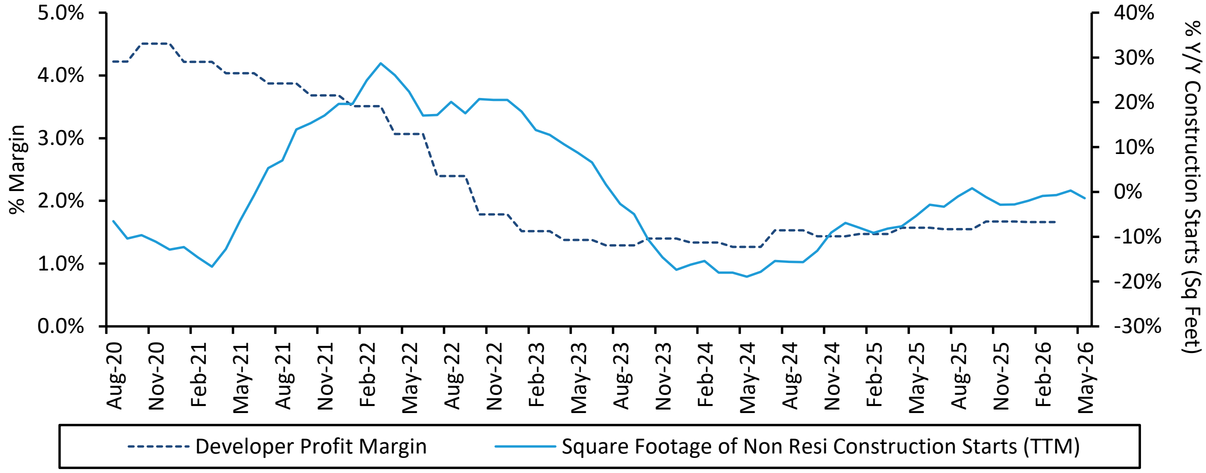
EXHIBIT 20: **Largest Project List of Non Building over the last 12 months**

Break Ground Date	Project Name	Value ($M)	Type	Location
Jun-25	Amtrak East River Tunnel Rehabilitation	$1,600	Public Infrastructure	NY
Jun-25	I-35 CapEX-C Tunnel and Pump Station	$1,100	Public Infrastructure	TX
Jun-25	Montgomery Locks and Dam Project	$975	Public Infrastructure	PA
Jul-25	Empire Wind Offshore Wind Energy Project	$3,000	Renewables	NY
Jul-25	A's Ballpark	$1,800	Other	NV
Jul-25	Boardmand to Hemingway Power Transmission Line	$1,600	T&D	OR
Aug-25	Woodside Lousiana LNG Facility (Train #3, Phase 1)	$5,100	LNG	LA
Aug-25	Cheniere Corpus Christi LNG Facility (Trains 8 and 9, Stage 3B)	$2,900	LNG	TX
Aug-25	Kingston Energy Complex with Battery Storage	$1,800	Renewables	TN
Sep-25	AirTrain Newark Replacement	$3,000	Public Infrastructure	NJ
Sep-25	Hugh Brinson Pipeline	$2,700	LNG	TX
Sep-25	Walnut Creek WWTP Renovation and Expansion	$1,100	Public Infrastructure	TX
Oct-25	Calcasieu Pass LNG Export Terminal and Pipeline	$15,000	LNG	LA
Oct-25	Rio Grande LNG Facility (Phase 2, Trains 4 & 5)	$9,000	LNG	TX
Oct-25	Frederick Douglass Tunnel Improvement	$5,900	Public Infrastructure	MD
Nov-25	Entergy Meta Substations 500Kv Line	$1,700	T&D	LA
Nov-25	Easley Renewable Energy Solar Array	$922	Renewables	CA
Nov-25	The New Castle Bluff Energy Center Natural Gas Power Plant	$900	Fossil Energy	MO
Dec-25	Port Authority Midtown Bus Terminal	$3,500	Public Infrastructure	NY
Dec-25	Entergy Legend Power Station	$1,600	T&D	TX
Dec-25	LAX Airport Roadway Improvement Project	$1,500	Public Infrastructure	CA
Jan-26	Port Arthur LNG - Liquefaction Phase 2 (Trains 3&4)	$12,000	LNG	TX
Jan-26	Homer City Energy Campus 4.4GW	$6,000	Fossil Energy	PA
Jan-26	Tehuacana Creek 1 Solar and Battery Storage	$1,500	Renewables	TX
Feb-26	SR 400 (I-4) Highway	$564	Public Infrastructure	FL
Feb-26	1-94 Reconstructoin Project	$389	Public Infrastructure	MI
Feb-26	Allegheny County Wet Weather Pump Station	$386	Public Infrastructure	PA
Mar-26	Darden Clean Energy Project	$2,500	Renewables	CA
Mar-26	Phase 1 Natural Gas Plant/Site Infrastructure	$2,000	LNG	TX
Mar-26	CPV Basin Ranch Energy Center	$2,000	Fossil Energy	TX
Apr-26	Bison Generation Station Natural Gas Power Plant	$3,800	Fossil Energy	ND
Apr-26	Cayuga Station Natural Gas Energy Replacement	$3,300	Fossil Energy	IN
Apr-26	Tradepoint Atlantic Container Terminal	$1,000	Public Infrastructure	MD
May-26	LNG Export Facility	$13,500	LNG	LA
May-26	SR 400 Express Toll Lanes Phase 3	$4,200	Public Infrastructure	GA
May-26	Brent Spence Bridge	$4,100	Public Infrastructure	OH

Source: Dodge, Bernstein analysis

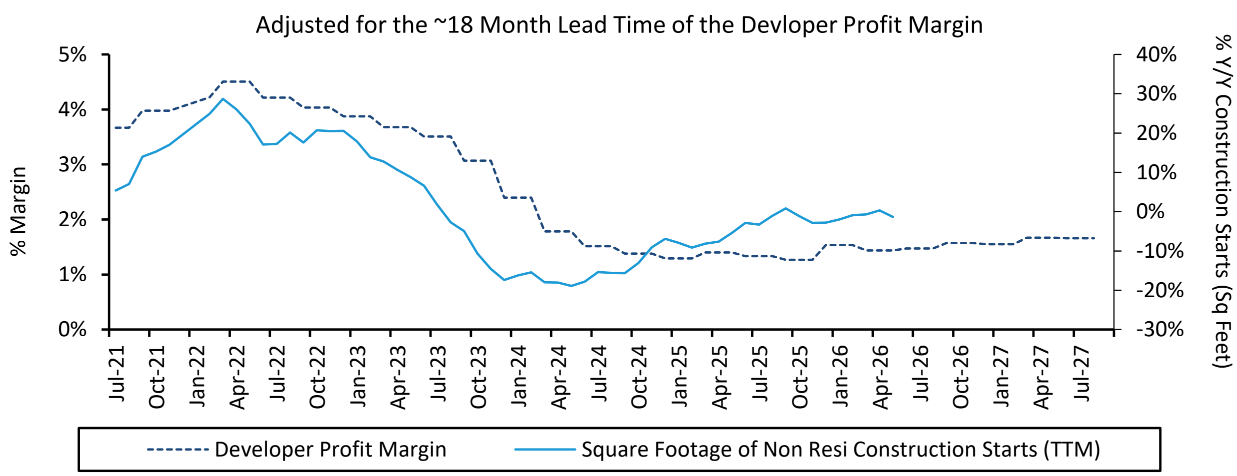
WHERE ARE CONSTRUCTION STARTS GOING FROM HERE?

EXHIBIT 21: **Non-Residential Developers' Economic Profits Lead Non-Residential Construction Starts (000's of sq. ft.) By 18 Months**



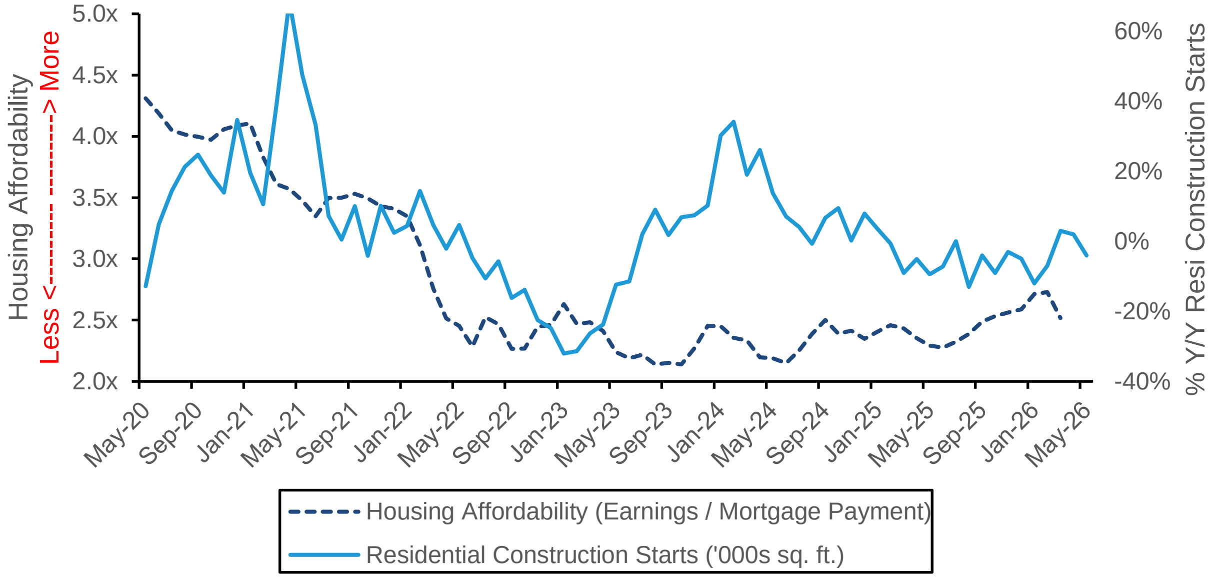
Source: Dodge, Bloomberg, Bernstein analysis

EXHIBIT 22: **After Adjusting for the Lead Time of Economic Profits, it Suggests Non-Residential Construction Starts Will Continue to Decline Through At Least The Next 12 Months**



Source: Dodge, Bloomberg, Bernstein analysis

EXHIBIT 23: **Housing affordability, which has historically anchored construction starts, declined in the latest read, and remains well below pre pandemic levels**



Source: Dodge, Bloomberg, Bernstein analysis

We would like to thank Federico Anchieri for his hard work and significant contribution to this report

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Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

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Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

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The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 500 Banks And Financial Services Index (BEBANKS) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 500 Insurance Index (BEINSUR) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, and the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments. Ratings are stated relative to the sector (not the market).

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- Neutral (N): Stock will perform in line with the market index to within +/-10 pp
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Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

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The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

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Outperform	BUY	51.1%	16.5%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	36.3%	17.8%
Underperform	SELL	12.6%	14.9%

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